

4.2.1 The measurement of macroeconomic performance

4.2.1.1 The objectives of government economic policy

Content	Additional information
• The main objectives of government macroeconomic policy: economic growth, price stability, minimising unemployment and a stable balance of payments on current account. • The possibility of conflict arising, at least in the short run, when attempting to achieve these objectives.	Students should be aware that governments may also have other objectives of macroeconomic policy, such as balancing the budget and achieving an equitable distribution of income. They should be aware that the importance attached to the different objectives changes over time.

4.2.1.2 Macroeconomic indicators

Content	Additional information
• Data which is commonly used to measure the performance of an economy, such as: real GDP, real GDP per capita, Consumer Prices and Retail Prices Indices (CPI/RPI), measures of unemployment, productivity and the balance of payments on current account.	

4.2.1.3 Uses of index numbers

Content	Additional information
• How index numbers are calculated and interpreted, including the base year and the use of weights. • How index numbers are used to measure changes in the price level and changes in other economic variables.	A detailed technical knowledge is not expected of indices such as the Retail Prices Index (RPI) and Consumer Prices Index (CPI), but students should have an awareness of their underlying features, for example, the concept of the 'average family' and a 'basket of goods and services'.

4.2.1.4 Uses of national income data

Content	Additional information
• The use and limitations of national income data to assess changes in living standards over time. • The use and limitations of national income data to compare differences in living standards between countries. • The importance of using purchasing power parity (PPP) exchange rates when making international comparisons of living standards.	